

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 1303

By: Daniels of the Senate

and

Lepak of the House

6
7
8
9 An Act relating to workers' compensation; amending
10 85A O.S. 2021, Section 124, which relates to
11 transfers from Workers' Compensation Court;
12 transferring certain property and records; updating
13 statutory references; updating statutory language;
14 repealing 85A O.S. 2021, Section 121, which relates
15 to the Advisory Council on Workers' Compensation;
16 providing an effective date; and declaring an
17 emergency.

18 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

19 SECTION 1. AMENDATORY 85A O.S. 2021, Section 124, is
20 amended to read as follows:

21 Section 124. A. 1. All unexpended funds, assets, property,
22 records, personnel and any outstanding financial obligations and
23 encumbrances of the Workers' Compensation Court before February 1,
24 2014, are hereby transferred to the Oklahoma Workers' Compensation
25 Commission. The personnel transferred shall retain leave, sick and
26 annual time earned and any retirement and longevity benefits ~~which~~
27 that have accrued during their employment with the state. The

1 salaries of employees who are transferred shall not be reduced as a
2 direct and immediate result of the transfer. There shall be no
3 reduction-in-force as a result of the transfer.

4 2. Any unexpended funds, including interest thereon, held by
5 the State Treasurer in an interest-bearing division special account
6 maintained by the Workers' Compensation Court before February 1,
7 2014, from which a self-insured employer's workers' compensation
8 obligations are paid following nonpayment by the self-insured
9 employer for any reason, including insolvency, shall be transferred
10 to the Oklahoma Workers' Compensation Commission. Such funds shall
11 be expended by the Commission only for the purpose of paying
12 workers' compensation obligations of the self-insured employer, and
13 costs related to the administration of such obligations, to the
14 extent of the availability of such funds.

15 B. 1. All unexpended funds, assets, property, and records and
16 any outstanding financial obligations and encumbrances of the
17 Workers' Compensation ~~Self-insurance~~ Self-Insurance Guaranty Fund
18 Board before February 1, 2014, are hereby transferred to the Self-
19 insurance Guaranty Fund Board created in the Administrative Workers'
20 Compensation Act.

21 2. Any unexpended funds, including interest thereon, held by
22 the State Treasurer in the Workers' Compensation ~~Self-insurance~~
23 Self-Insurance Guaranty Fund before February 1, 2014, shall be
24 transferred to the Self-insurance Guaranty Fund Board created by the

1 Administrative Workers' Compensation Act. Such funds shall be
2 expended by the Board only as authorized in the Administrative
3 Workers' Compensation Act.

4 3. Any claim existing or action or proceeding pending by,
5 against or before the Workers' Compensation ~~Self-insurance~~ Self-
6 Insurance Guaranty Fund Board when the Board ceased existence may be
7 continued as if the Self-insurance Guaranty Fund Board was not
8 created, or the Self-insurance Guaranty Fund Board may be
9 substituted in the matter. The Self-insurance Guaranty Fund Board
10 shall be responsible and liable for all liabilities and obligations
11 of the Workers' Compensation ~~Self-insurance~~ Self-Insurance Guaranty
12 Fund Board.

13 C. All property and records of the Physician Advisory Committee
14 before February 1, 2014, are hereby transferred to the Physician
15 Advisory Committee created in the Administrative Workers'
16 Compensation Act.

17 D. All property and records of the Advisory Council on Workers'
18 Compensation before ~~February 1, 2014,~~ July 1, 2026, are hereby
19 transferred to the ~~Advisory Council on Workers' Compensation created~~
20 ~~in the Administrative Workers' Compensation Act~~ Commission.

21 E. All unexpended funds, assets, property, records, personnel
22 and any outstanding financial obligations and encumbrances of the
23 Multiple Injury Trust Fund before February 1, 2014, are hereby
24 transferred to the Multiple Injury Trust Fund created in the

1 Administrative Workers' Compensation Act. The personnel transferred
2 shall retain leave, sick and annual time earned and any retirement
3 and longevity benefits ~~which~~ that have accrued during their
4 employment with the state. The salaries of employees who are
5 transferred shall not be reduced as a direct and immediate result of
6 the transfer. There shall be no reduction-in-force as a result of
7 the transfer.

8 F. The Director of the Office of Management and Enterprise
9 Services is hereby directed to coordinate the transfer of funds,
10 allotments, purchase orders, outstanding financial obligations or
11 encumbrances provided for in subsections A and E of this section,
12 and the transfer of funds, outstanding financial obligations or
13 encumbrances provided for in subsection B of this section.

14 SECTION 2. REPEALER 85A O.S. 2021, Section 121, is
15 hereby repealed.

16 SECTION 3. This act shall become effective July 1, 2026.

17 SECTION 4. It being immediately necessary for the preservation
18 of the public peace, health or safety, an emergency is hereby
19 declared to exist, by reason whereof this act shall take effect and
20 be in full force from and after its passage and approval.

21

22 COMMITTEE REPORT BY: COMMITTEE ON JUDICIARY AND PUBLIC SAFETY
23 OVERSIGHT, dated 04/16/2026 - DO PASS.

24